

From Doc's Inbox

💬 A subscriber in our new FREE Discord asked:



DOC MCGRAW

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💬 A subscriber in our new FREE Discord asked:

*"I get the theory (BS-ish, not textbook). But on **timing** — when does a market maker actually adjust delta/gamma hedges? Are they trying to stay flat all the time?"*



Doc's answer (Quantuition version):

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- **Not "flat at all times."** Think **risk bands**, not perfection. Shops run different models + different pain thresholds. Staying *exactly* neutral every second is expensive (spreads + slippage).

- They adjust when exposures **MOVE** outside the band. What moves the band fastest intraday:
 - ⚡ **Spot velocity** (price moves through/near a big strike concentration)
 - 🌀 **Gamma curvature** (near-ATM = hedges get “twitchy”)
 - 🗣️ **Vanna** (IV up/down shifts effective delta even if spot stalls)
 - ⌚ **Charm** (time decay changes delta profile — the “clock hedge” ramps into the close)

🕒 The practical timing loop (how it *feels* intraday):

- 📅 **Open (9:30–10:15)**: spreads wider, inventory gets sorted, hedges can be chunky.
- 📁 **Midday**: if vol + speed calm down, hedging becomes “maintenance mode.”
- ⚡ **Approaching a big gamma glob / key strike cluster**: hedging frequency rises — smaller spot moves create bigger delta changes, so they “tap-tap-tap” futures more often.
- ⌚ **Last 60–45 minutes**: charm ramps + 0DTE decay accelerates → hedges can become **mechanical** (especially if price is pinned near a heavy strike).
- 🕯️ **If IV spikes late-day**: vanna forces adjustments *even without price* — that’s when it turns into a proper Greek Dance.

🧩 Two clean truths that help:

- **Open interest doesn't update intraday** the way people think — but **exposure absolutely does**, because it's a function of **spot + IV + time-to-expiry + flow**.
- **Bigger local gamma = narrower hedge band**. Narrow band $\Rightarrow$ more frequent tweaks. Low gamma / “air pockets” $\Rightarrow$ fewer tweaks... until price accelerates and they have to chase.



Zen summary:

They're not trying to be “flat.” They're trying to be **not dead** — and the closer we get to big strike gravity + late-day decay, the more the hedging becomes **discrete, threshold-based, and time-driven**.

BTW - I have a PDF I made with AI help - can't figure out how to insert it here

Some lame screenshots below. IF I figure it out THEN I'll send it out

PDF in Discord

2/10/26, 9:44 PM

The Market Maker's Greek Dance: SPX ODTE Edition

THE GREEK DANCE

SPX ODTE Dealer Hedging & Quantuition

"MMs are not flat at all times..."

Dealer hedging isn't a continuous textbook curve. It's a series of discrete adjustments triggered by **Gamma Lobs**, **Vanna spikes**, and the relentless **Charm** of ODTE time decay. We call this the "Quantuition" filter—where math meets the market's pulse.

QUANTUITION TRIGGERS

Market Makers (MMs) don't hedge every tick. They wait for "threshold breaches." In ODTE, **Time (Charm)** and **Vol (Vanna)** often outweigh pure price delta early in the session.

ODTE FOCUS

GAMMA LOBS

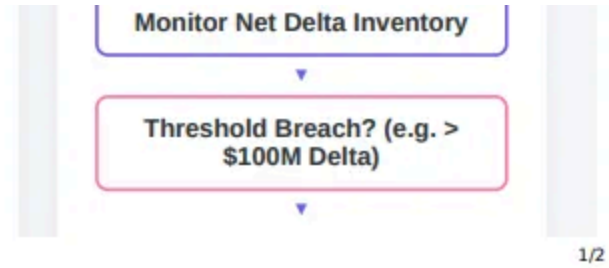
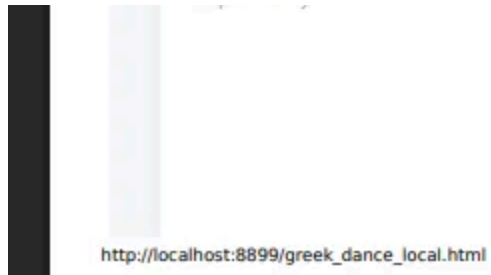
VANNA OVERLAY



GAMMA LOBS (DEX CENTERS)

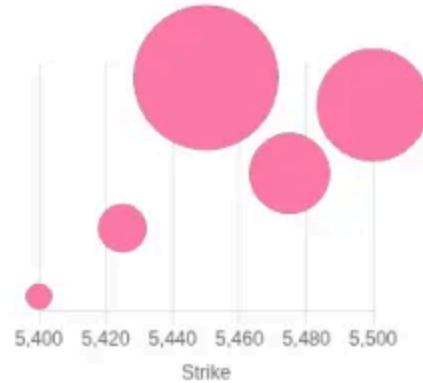
Concentration of Open Interest creates "Gravity Wells." Near these strikes, hedging frequency accelerates exponentially.

THE HEDGING DECISION LOOP



2/10/26, 9:44 PM

The Market Maker's Greek Dance: SPX ODTE Edition

**VANNA/CHARM OVERLAY**

How much decay will offset this in 30 mins?

Execute Hedge (Flatten)**THE INTRADAY PULSE**

Visualizing how ODTE price breakouts trigger "Hedge Walls." Note the EOD volume spike as Charm forces a final delta re-balance.



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